Economics

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January CPI Preview: Shutdown Quirks Fade, Seasonal Issues Reemerge

Special Commentary

Economist(s)


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Summary

- We expect a *somewhat* cleaner read on price growth from the January CPI report as the ripple effects from last fall's record-long government shutdown fade. The report has been delayed by the most recent government shutdown, but the brief closure did not affect data collection. With the BLS able to collect and process data as usual in each of the past two months, January's monthly change in prices should be largely free from shutdown-related quirks.
- New seasonal adjustment factors will be incorporated with this release and leave the past five years' data subject to revision. We expect that the updated seasonal factors will still to struggle to fully account for early-year price hikes. Last January's jump in prices should lead the new seasonal factors to "expect" a bit more strength the first month of this year, but we are concerned that the pandemic period is still causing seasonal distortions in the data.
- We expect the core index to increase 0.33% in January compared to an average increase of 0.22% the prior 12 months. A solid rise in January is unlikely to be entirely a statistical mirage. Rather, we believe it will reflect some delayed pass-through of tariff costs to consumers as suppliers renegotiate contracts, businesses restock inventory and companies test pricing power. We look for core goods prices to rise 0.33%. Used vehicles should underpin the pickup, but we also look for broad strength outside vehicles that would leave the core goods index up 1.4% year-over-year.
- Core services prices also have been prone to pop in January, but we look for a 0.33% increase that would be only moderately above the recent pace. Market-based rents are still pointing to primary shelter receding on trend, and travel-related prices have less scope to jump after a big rebound in December. While price growth among remaining "other" services is likely to pick up in January, we expect the increase to be tempered by outright declines in health and motor vehicle insurance prices.
- On a headline basis, we look for headline CPI to rise a more modest 0.25% in January. The unwinding of shutdown-quirks alongside cooler food-related commodities should lead to softer food inflation. Lower gasoline prices should also temper the headline gain. That said, we expect another solid increase in energy services. Natural gas prices, which typically lead piped gas services by about a month, had already risen ahead of Winter Storm Fern, while growing electricity demand and the need to upgrade aging infrastructure are leading to rate hikes for consumers this year.
- The softer monthly increase in headline CPI should pull the year-over-year rate to 2.4% in January from 2.7% in December. Core inflation should also edge down on a year-over-year basis, landing at nearly a five-year low of 2.5%. We do not expect the CPI to cool much further over the course of 2026, however. The unwinding of a lingering shutdown-quirk in shelter will boost both headline and core inflation in April. That bump is likely to occur alongside a still-solid demand backdrop, as easier fiscal and monetary policy are poised to counteract the drag from the struggling labor market.

January 2026 Forecast

	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	*Prior*	*Forecast*	*Prior*
Seasonally Adjusted	**Jan.**	**Dec.**	**Jan.**	**Dec.**
CPI (Consensus)	0.30	0.30	2.5	2.7
CPI (WF Estimate)	0.25	0.31	2.4	2.7
Food	0.22	0.71	2.9	3.1
Food at Home	0.25	0.72	2.2	2.4
Food Away from Home	0.18	0.69	4.0	4.1
Energy	-0.63	0.30	0.3	2.0
Energy Goods	-2.10	-0.39	-6.9	-3.0
Energy Services	0.80	0.98	8.1	7.5
Core CPI (Consensus)	0.30	0.30	2.5	2.7
Core CPI (WF Estimate)	0.33	0.24	2.5	2.6
Goods	0.33	0.00	1.4	1.4
Vehicles	0.39	-0.39	0.4	0.8
Other Goods	0.29	0.23	2.2	1.8
Services	0.33	0.29	2.9	3.0
Primary Shelter	0.28	0.30	3.2	3.3
"Super Core"**	0.41	0.55	2.5	2.9

Not Seasonally Adjusted	**Index**	**MoM (%)**	**YoY (%)**
CPI (Consensus)	325.539	0.42	—
CPI (WF Estimate)	325.408	0.42	2.4

Forecast as of: February 09, 2026; Bloomberg Consensus

**Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

Wells Fargo U.S. Inflation Forecast

	Actual				Forecast							
	2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
CPI (YoY)	2.7	2.5	2.9	2.7	2.6	2.8	2.7	2.7	2.5	2.3	2.3	2.3
QoQ Annualized	3.8	1.6	3.1	2.3	3.1	2.8	2.4	2.3	2.3	2.3	2.2	2.2
Core CPI (YoY)	3.1	2.8	3.1	2.7	2.6	2.8	2.5	2.6	2.4	2.3	2.3	2.3
QoQ Annualized	3.5	2.1	3.3	1.8	3.1	2.8	2.3	2.3	2.3	2.3	2.2	2.2
PCE Deflator (YoY)	2.6	2.4	2.7	2.8	2.8	2.9	2.7	2.6	2.3	2.2	2.1	2.1
QoQ Annualized	3.4	2.1	2.8	2.8	3.3	2.6	2.2	2.1	2.2	2.1	2.1	2.0
Core PCE Deflator (YoY)	2.8	2.7	2.9	2.8	2.9	2.9	2.7	2.60	2.3	2.2	2.2	2.2
QoQ Annualized	3.3	2.6	2.9	2.6	3.4	2.6	2.2	2.2	2.2	2.2	2.1	2.1

Forecast as of: February 9, 2026
Note: All numbers are percent change.

Source: U.S. Department of Labor and Wells Fargo Economics

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